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County: los-angeles

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Case Number: 25PSCV02787 Hearing Date: July 16, 2026 Dept: G

Plaintiff/Cross-Defendant

Express Trade Capital, Inc.'s Demurrer to Defendants/Cross-Complainants Haiyong Geng and Yongfei Enterprise Group Co.'s Amended Cross-Complaint

Respondent:

Defendants/Cross-Complainants Haiyong Geng and Youngfei Enterprise Group Co.

TENTATIVE

RULING

Plaintiff/Cross-Defendant

Express Trade Capital, Inc.'s Demurrer to Defendants/Cross-Complainants Haiyong Geng and Yongfei Enterprise Group Co.'s Amended Cross-Complaint is CONTINUED.

BACKGROUND

This is

an action for fraud. Plaintiff Express

Trade Capital, Inc. (Express) is a lender, and defendant Wei Lin is allegedly

in the business of exporting luxury vehicles from the United States to

China. On June 9, 2021, Express allegedly

offered defendant MT Auto Depo Inc. (MT Auto) a revolving credit facility

whereby Express would advance funds to MT Auto against vehicles as

collateral. On June 14, 2021, Lin allegedly

entered into a guaranty agreement, making him personally liable for MT Auto's

obligations to Express, and a security agreement, granting Express a security

interest in MT Auto's assets. In June 2021,

Lin allegedly represented that he would start doing business through defendant

Elite Auto Choice, Inc. (Elite), and Elite assumed MT Auto's obligations to Express. On July 7, 2021, Lin allegedly entered into a security agreement, granting Express a security interest in Elite's assets, and on July 8, 2021, Lin allegedly entered into a guaranty agreement, making him personally liable for Elite's obligations to Express.

Between

2021 and 2023, Lin would make requests for funding to Express with proof of payment for the vehicles. The purchased vehicles would be stored at Express-approved warehouses, including those of defendant USF USA Logistics, Ltd. (USFL) and its subsidiary, defendant OBW Global Inc. (OBW), which is allegedly managed by defendants Bowen Yang (Yang) and Xin Shen (Shen).

In

late 2023 and early 2024, Lin and defendant Haiyong Geng (Geng) allegedly conspired to defraud Express into making a loan for vehicles Lin did not own. Lin and Geng allegedly used Express's funds to finance or lease the vehicles through Geng's business, defendant Yongfei Enterprise Group Co. (Yongfei). In August 2024, Lin allegedly stopped responding to Express, and the loans remain unpaid.

On

February 17, 2025, USFL allegedly sent Express invoices for vehicle storage. When Express tried to examine the vehicles, it discovered that the location had closed and that the vehicles had been moved.

On

July 31, 2025, Express filed the Complaint, alleging causes of action for (1) breach of contract (against Lin and Elite), (2) breach of the implied covenant of good faith and fair dealing, (3) breach of contract (against USFL), (4) open book account, (5) account stated, (6) fraud, (7) damages under Penal Code section 496, subdivision (c), and (8) conversion.

On

December 8, 2025, Geng and Yongfei (collectively, Cross-Complainants) filed the Cross-Complaint. On March 17, 2026, Cross-Complainants filed the operative Amended Cross-Complaint, alleging causes of action for (1) equitable indemnity, (2) breach of contract, (3) intentional misrepresentation, (4) negligent misrepresentation, (5) breach of the covenant of good faith and fair dealing, (6) conversion, (7) [. . .] (8) declaratory

relief (against Express, Lin, MT Auto, Elite, USFL, Yang, Shen, and OBW), (9) declaratory relief (against Lin, Elite, USFL, Yang, Shen, and OBW), (10) injunctive relief, and (11) quantum meruit/unjust enrichment.
(The court previously sustained a demurrer without leave to amend as to the seventh cause of action.)

On

April 16, 2026, Express filed this demurrer to the Amended Cross-Complaint. On May 18, 2026, Cross-Complainants filed the opposition, and on May 21, 2026, Express filed the reply. On June 1, 2026, the court continued the hearing on the demurrer to allow the parties to properly meet and confer. On June 24, 2026, the court continued the hearing on the demurrer to allow the parties to further meet and confer.

This

case is set for a case management conference, an order to show cause re: failure to file proof of service as to remaining defendants and cross-defendants, an order to show cause re: default judgment setting as to served non-appearing defendants and cross-defendants, and a continued hearing on this demurrer on July 16, 2026.

REQUEST FOR JUDICIAL NOTICE

Express

requests that the court take judicial notice of the Cross-Complaint and Amended Cross-Complaint. The court may take judicial notice of the records of any California court, including its own. (Evid. Code, § 452 subd. (d)(1).) Thus, the court takes judicial notice of the Cross-Complaint and Amended Cross-Complaint.

ANALYSIS

Express

demurs to the sixth and eighth causes of action in the Amended Cross-Complaint. (Express also demurs to the tenth cause of action. The court previously sustained Express's demurrer as to the tenth cause of action in the original

Cross-Complaint. Cross-Complainants do not assert the new tenth cause of action against Express in the Amended Cross-Complaint, so Express does not have standing to demurrer to the tenth cause of action.)

For the following reasons, the court CONTINUES the demurrer.

Legal
Standard

Pursuant to Code of Civil Procedure section 430.41, prior to filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).) It further provides that “the demurring party shall identify all of the specific causes of action that it believes are subject to demurrer and identify with legal support the basis of the deficiencies.” (Code Civ. Proc., § 430.41, subd. (a)(1).)

While Code of Civil Procedure section 430.41, subdivision (a)(4) makes clear failing to meet and confer is not grounds to overrule a demurrer, courts “are not required to ignore defects in the meet and confer process” and if the court determines “no meet and confer has taken place, or concludes further conferences between counsel would likely be productive, it retains discretion to order counsel to meaningfully discuss the pleadings with an eye toward reducing the number of issues or eliminating the need for a demurrer, and to continue the hearing date to facilitate that effort.” (Dumas v. Los Angeles County Bd. of Supervisors (2020) 45 Cal.App.5th 348, 355 & fn. 3.)

Discussion

Express's counsel provided a supplemental declaration that stated they are “hopeful that the demurrer hearing currently scheduled for June 24, 2026 will fall off calendar,” which indicates that further discussion between counsel may resolve the issues raised in the demurrer. (6/10/2026

Szkopek Decl., ¶ 4.) At the June 24, 2026 hearing, counsel represented that they are still discussing the issue subject to demurrer and may enter into a settlement agreement on the issue. (See 6/24/2026 Min. Order, p. 1.)

Therefore, the court CONTINUES the demurrer and ORDERS Express's counsel to further MEET AND CONFER with Cross-Complainants' counsel by telephone, video conference, or in person and FILE a SUPPLEMENTAL DECLARATION describing such meet and confer efforts, including whether the attempts were made by telephone, video conference, or in person, at least nine (9) court days before the next scheduled hearing on the demurrer.

CONCLUSION

For these reasons, the demurrer is CONTINUED to a date to be determined at the hearing in Department G (Pomona).

Plaintiff

Express Trade Capital, Inc. is also ORDERED to further MEET AND CONFER with counsel for defendants/cross-complainants Haiyong Geng and Youngfei Enterprise Group Co. regarding the present demurrer and to FILE a SUPPLEMENTAL DECLARATION describing such meet and confer efforts, including whether the attempts were made by telephone, video conference, or in person, at least nine (9) court days before the next scheduled hearing on the demurrer.